

ing the foundation and framing the house in. But as soon as the interior walls began to be raised, Sherri noticed a few changes that should be made. It really wasn't much—a closet widened, a doorway moved, a window relocated. Then the fireplace was changed to a woodstove for better efficiency, the attic was floored for extra storage, et cetera. The final tally increased building costs by \$9,000.

Needless to say, they were shocked and alarmed. The bank had qualified them at the lower price and would not increase the loan. They ended up selling the house before they ever moved into it, though they actually made about \$3,000 after all costs were considered. Warren later commented that when he took their time into account, they probably made about \$1.50 an hour and took at least five years off their lives. "The only positive factor," he said, "was that it showed us we have a really strong marriage. Otherwise, it would not have survived."

● CONSIDER YOUR LOAN

The type of loan you get is also very important. Usually a variable-rate loan carries a lower initial interest rate. But it can go up annually, based on prevailing interest rates. Remember that each percent of annual increase on a \$50,000 mortgage is about \$40 per month. Most variable loans can increase 1½ to 2 percent per year, up to a maximum of 3 to 5 percent. If your budget can't handle the maximum potential increase, don't accept a variable mortgage. Under no circumstances should you accept a variable-rate mortgage that has no maximum interest rate quoted or one that contains a "balloon" payment. A balloon note is one where the last payment is significantly larger than the average monthly payment. This is common where a lender uses a 30-year amortization (payment schedule) but a 15-year loan period. At the end of 15 years the last payment can be as much as 82 percent of the original loan—quite a shock. It would obviously mean another loan would be required. If you repeated the same error, you could pay 30 years and still owe 66 percent of the original loan amount.